

usually took over. If that did not happen, the operator would keep buying some more shares till sufficient interest was generated.'

'In a way, the premium created by the promoter was a kind of promotional expense,' I remarked.

'Absolutely. And the grey market was quite active because of the staggered payment structure too. Investors subscribing to an IPO or rights issue had to pay 25 per cent at the time of application, 25 per cent on allotment and the balance 50 per cent when the company would call for it, which would usually be a month or two after listing.

'Retail investors were usually assured of allotment of the full quantity they had applied for. So they could sell an equivalent quantity in the grey market at a premium and deliver the shares once they got allotment. In absolute terms, the gains may not have been huge since the premium itself was not very big. But if you converted the profits into annualized returns, it was as high as 40-50 per cent,' GB said.

Memorable among the many stories he told us was a funny one about the grey market, and another which illustrated how the public issue market functioned.

'There used to be a frail chap called Kamani, who always sported a bowler cap. He was well known in market circles as the agent of operators who were active in the grey market. If ever you wanted to buy shares of IPOs in the grey market, Kamani was the man to go to. He always had a quote ready. I had just joined the stock market and was working with a broker named Shroff.

'Once, Shroff was chatting to a friend on the pavement outside his office, and Kamani happened to be having tea across the road.

"'This Kamani fellow, I tell you, he will sell you anything, even if he hasn't heard the name of the company. Tell him you want to buy tetrapods (the concrete structures along Marine Drive that shield the wall of the promenade from the tides) and he will sell you that too,'" Shroff told his friend.

'The friend found this hard to believe, and so Shroff decided to prove it. He called Kamani over.

"'Kamani, I want a quote for Tetrapod, which is coming out with an issue shortly,'" Shroff told him confidently.

'At this, Kamani took out his pocket diary which had the grey market rates. He flipped through a few pages, but did not find any company by the